Subject: NIKE, Inc. Renewal- $10M xs $175M ABC
Date: Wednesday, November 5, 2025 at 12:09:24 PM Central Standard Time
From: Mongiello, Michelle
To: Haran, Richard
Attachments: image002.png, image001.png, image003.png, image004.png, image005.png, image006.png, image007.png

Hi Rick,

I am working with Hilarie Gates over at Marsh SF on this year's renewal. Marsh is moving pretty quickly here and wanted to get ahead of this one as they will be targeting a flat renewal. We wrote this new in 2022 after Nike decided to purchase an additional $30M of ABC capacity. We currently have $1.5M in FAC through Guy Carp (Munich Re) and with the claim in the door (which could have some teeth to it), I think it would be the right thing to see if they want to continue to support, but let me know if you think otherwise. There was a CEO change last year, but I have no concerns as their new CEO (Elliott Hill) had an extensive tenure with Nike (32 years) before coming back on board. Nike's management demonstrates a cautious but proactive approach amid a challenging operating environment. While the company's brand strength, liquidity, and strategic initiatives provide a solid foundation for long-term growth, near-term results reflect significant margin and profitability pressures from tariffs, discounting, and digital channel weakness. Regional disparities, especially in Greater China and Converse, highlight the need for targeted recovery strategies. Overall sentiment is guardedly optimistic: Nike is taking decisive actions to reposition its business for future shareholder value, but acknowledges ongoing risks and the likelihood of continued volatility in the short term. There was a SCA filed (more below) and it is too early to tell what will happen per Claims but there could be exposure. Nike is an established retailer, but they have seen their fair share of inventory issues and macro headwinds over the past couple of years. They also have a large presence in China as well and view China as a key market for them going forward. Given the claim in the door and no change to the $50M SIR, I propose we follow the suit and come in at flat as long as the remaining u/l follow. LM as a whole has a ~$503k relationship with Nike across all lines. I will keep you posted if there's any changes, but I am seeking authority for a flat renewal. Please let me know your thoughts along with keeping FAC this year.

Here is the tower for reference so far (the quotes are pending for those that are highlighted):

Account Name:	NIKE, Inc.						
Policy Period:	12/12/2024-12/12/2025						
Carrier	**Limit (MM)**	**XS (MM)**	**Premium**	**BPM**	**ILF**	**BOL**	**BOP**
Chubb	$15.0	$50M SIR	$484,499	$32,300	N/A	3.23%	N/A
Zurich	$15.0	$15.0	$358,530	$23,902	74.00%	2.39%	74.00%
Swiss Re	$15.0	$30.0	$277,500	$18,500	77.40%	1.85%	57.28%
Allianz	$15.0	$45.0	$205,500	$13,700	74.05%	1.37%	42.41%
Axis	$10.0	$60.0	$102,750	$10,275	75.00%	1.03%	31.81%
Nationwide	$15.0	$70.0	$126,500	$8,433	82.08%	0.84%	26.11%
Travelers	$10.0	$85.0	$79,383	$7,938	94.13%	0.79%	24.58%
XL	$10.0	$95.0	$73,300	$7,330	92.34%	0.73%	22.69%
Sompo	$10.0	$105.0	$71,000	$7,100	96.86%	0.71%	21.98%
Munich Re	$10.0	$115.0	$70,000	$7,000	98.59%	0.70%	21.67%
Falcon	$10.0	$125.0	$69,000	$6,900	98.57%	0.69%	21.36%
Bowhead	$10.0	$135.0	$68,000	$6,800	98.55%	0.68%	21.05%
SCOR	$10.0	$145.0	$67,000	$6,700	98.53%	0.67%	20.74%
Canopius	$10.0	$155.0	$66,000	$6,600	98.51%	0.66%	20.43%
Berkshire	$10.0	$165.0	$65,000	$6,500	98.48%	0.65%	20.12%
Liberty Mutual	$10.0	$175.0	$64,000	$6,400	98.46%	0.64%	19.81%

	NIKE, Inc.								
Policy Period:	12/12/2025-12/12/2026								
Carrier	**Limit (MM)**	**XS (MM)**	**Premium**	**BPM**	**ILF**	**BOL**	**BOP**	**Red/Incr**	**DDI**
Chubb	$15.0	$50M SIR	$484,499	$32,300	N/A	3.23%	N/A	0.0%	500,000
Zurich	$15.0	$15.0	$358,530	$23,902	74%	2.39%	74%	0.0%	250,000
Swiss Re	$15.0	$30.0	$277,500	$18,500	77%	1.85%	57%	0%	250,000
Allianz	$15.0	$45.0	$205,500	$13,700	74%	1.37%	42%	0%	250,000
Axis	$10.0	$60.0	$102,750	$10,275	75%	1.03%	32%	0%	250,000
Nationwide	$15.0	$70.0	$126,500	$8,433	82%	0.84%	26%	0%	250,000
Travelers	$10.0	$85.0	$79,383	$7,938	94%	0.79%	25%	0%	250,000
XL	$10.0	$95.0	$73,300	$7,330	92%	0.73%	23%	0%	250,000
Sompo	$10.0	$105.0	$71,000	$7,100	97%	0.71%	22%	0%	200,000
Munich Re	$10.0	$115.0	$70,000	$7,000	99%	0.70%	22%	0%	200,000
Falcon	$10.0	$125.0	$69,000	$6,900	99%	0.69%	21%	0%	200,000
Bowhead	$10.0	$135.0	$68,000	$6,800	99%	0.68%	21%	0%	200,000
SCOR	$10.0	$145.0	$67,000	$6,700	99%	0.67%	21%	0%	200,000
Canopius	$10.0	$155.0	$66,000	$6,600	99%	0.66%	20%	0%	200,000
Berkshire	$10.0	$165.0	$65,000	$6,500	98%	0.65%	20%	0%	200,000
Liberty Mutual	$10.0	$175.0	$64,000	$6,400	98%	0.64%	20%	0%	200,000

Rating Considerations		
Commision	0.0%	
Rating Currency	USD	<< If blank, assumes USD
Current Exchange Rate to 1USD (CIQ)	1.0000	
3-Month Avg Exchange Rate to 1USD (CIQ)	1.0000	
Override Exchange Rate		<< If blank, assumes Current CIQ Exchange Rate
Deductible/Retention (USD)	50,000,000	

		Layer Information						**US SCA Frequency**				**US SCA Severity (M)**		
Layer	Deductible/ Retention	Attachment in excess of deductible (USD)	Limit (USD)	Signed Line	Policy Type	Quoted Premium (USD)	Quoted Premium Type	Expected Frequency	Settlement Rate	Chance to Reach Layer	**Excess Exp Freq**	Ground-up Severity	Defense Costs	**Exp Los in Laye**
USD 10m xs 175m	50,000,000	175,000,000	10,000,000	100%	ABC	64,000		11.6%	55.0%	23.0%	**1.46%**	183.3	27.5	**9.8**
Custom layer	50,000,000													
Custom layer	50,000,000													
Custom layer	50,000,000													
Custom layer	50,000,000													

**Modeled Premium includes loadings for Merger Objections, Loss Experience Factors, and Side A Only Discount*

Russia/Ukraine exposure: Nike exited Russia completely in June 2022, three months after suspending operations there. Less than 1% of their total revenues were attributable to Russia & Ukraine combined.

- Nike exits Russia three months after suspending operations (nypost.com)

Overview

NIKE, Inc., together with its subsidiaries, designs, develops, markets, and sells athletic and casual footwear, apparel, equipment, accessories, and services for men, women, and kids in North America, Europe, the Middle East, Africa, Greater China, the Asia Pacific, and Latin America. The company offers its products under the NIKE, Jordan, Jumpman, Converse, Chuck Taylor, All Star, One Star, Star Chevron, and Jack Purcell trademarks. It also provides a line of performance equipment and accessories, including bags, socks, sport balls, eyewear, timepieces, digital devices, bats, gloves, protective equipment, and other equipment for sports activities, as well as various plastic products to other manufacturers; distributes and licenses casual sneakers, apparel, and accessories; and markets apparel with licensed college and professional team and league logos. In addition, the company offers consumer services and experiences, including sport focused events and activations; fitness and activity apps; sport, fitness, and wellness content; and digital services and features in retail stores. It sells its products to footwear stores; sporting goods stores; athletic specialty stores; department stores; skate, tennis, and golf shops; and other wholesale accounts through NIKE-owned retail stores, independent distributors, licensees, sales representatives, and digital platforms. The company was formerly known as Blue Ribbon Sports, Inc. and changed its name to NIKE, Inc. in May 1971. NIKE, Inc. was founded in 1964 and is headquartered in Beaverton, Oregon.

During the third quarter of fiscal 2024, management streamlined the organization which resulted in a net reduction in Nike's global workforce. In fiscal 2024, Nike recognized pre-tax restructuring charges of $443 million, primarily associated with $392 million related to employee severance costs and $51 million related to accelerated stock-based compensation expense. Of the $443 million pre-tax restructuring charges, $379 million was classified in Operating overhead expense and $64 million was classified in Cost of sales. The related cash payments during fiscal 2024 were $123 million. As of May 31, 2024, restructuring charges of $267 million were reflected within Accrued liabilities on the Consolidated Balance Sheets. As of the second quarter of fiscal 2025, the fiscal 2024 restructuring was substantially complete

and there was an immaterial amount of restructuring charges recognized in fiscal 2025. The Company made cash payments of $247 million during fiscal 2025, and the remaining immaterial amounts are to be settled in fiscal 2026.

UW Call Notes:

- Strategic realignment: Adopted a "sport offense" structure with teams and global GMs aligned across businesses to drive forward through a sport-focused lens. "Win now" priorities are the immediate focus.
- Wholesale: Delivering modest growth; growth in wholesale noted overall.
- Running segment: Biggest momentum—running sales up >20%, driven by distinctive new products and accelerated innovation that keep the brand "in the path of the consumer." Re-entered running specialty, gaining shelf space and elevating brand messaging.
- Competitive landscape: New entrants and price-driven competitors (spikes/supershoes) are strong. Differentiation tactics include unique product innovation, specialty-channel presence, and upgraded brand messaging. Pricing competition remains a challenge.
- Digital and promotions: Pulled back on digital promotions; expect a patience period as promotional reset works through to restore sustainable growth.
- China and Converse: Resetting the Converse business and investing in new store setups in China. China remains a work area—domestic competitors are a threat; plan to lead with innovation (new releases like "mind" and exo-skeleton shifts) and see long-term opportunity despite strong promotional competition.
- Inventory and balance sheet: Inventory dollars down while revenues are up—inventory management is a top priority. Paid off a $1B maturity in the past year, moderated share buybacks, and remain cash-rich.
- M&A stance: Not prioritizing M&A in the near term, but the balance sheet can support thoughtful deals to expand consumer reach.
- Legal/timing items: Filed MTD (briefing closed); judge's first SCA ruling timeline TBD, likely Jan–Feb 2026. Employment class-action headed to trial in 2026.
- Guidance and investor relations: Switched to quarterly (90-day) guidance last year to rebuild credibility with the CEO and preserve flexibility; providing more context to the street. Investor sentiment is currently positive despite challenges.
- Events: Gearing up for the World Cup as a commercial opportunity.

Positive Aspects

- Global Leadership & Brand Strength: Nike remains the largest seller of athletic footwear and apparel worldwide, with a strong brand portfolio and deep consumer connections.
- Revenue Growth in Key Segments: Overall revenues increased 1% year-over-year, with notable growth in North America (+4%) and EMEA (+6%). Apparel sales were particularly strong, up 9% globally and 11% in North America.
- Wholesale Channel Performance: Wholesale revenues grew 7% globally, driven by increased units and expanded distribution, especially in North America and EMEA.
- Inventory Management: Inventory increased 8%, reflecting proactive product mix adjustments and unit growth, positioning Nike for future launches.
- Shareholder Returns: Nike returned $0.7 billion to shareholders via dividends and share repurchases, demonstrating ongoing commitment to shareholder value.
- Liquidity & Capital Resources: Nike maintains strong liquidity ($8.6 billion in cash and short-term investments), solid credit ratings, and access to capital markets, supporting future operations and investments.

Challenges

- Margin Compression: Gross margin declined 320 basis points to 42.2%, primarily due to higher discounts, increased product costs (including tariffs), and unfavorable channel mix.
- Profitability Decline: Net income fell 31% and EBIT margin dropped from 10.9% to 7.7%, reflecting cost pressures and lower average selling prices (ASP).
- Digital & Direct Sales Weakness: NIKE Direct revenues decreased 4%, with digital sales down 12% globally and declines across all regions, indicating weaker online consumer demand.
- Regional Weaknesses: Revenues and EBIT declined sharply in Greater China (-10% revenue, -25% EBIT) and Converse (-27% revenue, -68% EBIT), driven by lower unit sales and ASP.
- Tariff Impact: New tariffs are expected to add $1.5 billion in annualized costs, negatively impacting gross margin and profitability.
- Foreign Exchange Volatility: Currency fluctuations created additional expense and income volatility, particularly affecting EMEA and global results.

Strategic Considerations

- Product & Marketplace Management: Nike is reducing supply of certain products, shifting to innovation, and rebalancing its portfolio to reignite brand momentum.
- Channel Strategy: Repositioning NIKE Brand Digital as a full-price platform, reinvesting in wholesale, and liquidating inventory through markdowns to create capacity for new products.
- Brand Investment: Increased focus on demand creation (brand and sports marketing) to support key launches and sports moments, aiming to strengthen consumer engagement.
- Inventory & Discounting: Aggressive inventory management through higher discounts and sales returns, balancing short-term margin impact with long-term brand health.
- Global Risk Monitoring: Ongoing assessment of geopolitical, regulatory, and tariff risks, with contingency planning for changes in import/export policies and consumer behavior.
- Capital Allocation: Moderation of share repurchases due to lower operating cash flows, but maintaining flexibility to resume based on market conditions and liquidity needs.

Tariff Commentary

NIKE, Inc. highlighted that new tariffs have significantly affected its cost structure. Specifically, the company expects a gross incremental cost of approximately $1.5 billion on an annualized basis as a result of these new tariffs. For fiscal 2026, management anticipates a negative impact on gross margin due to these tariffs, despite efforts to mitigate their effect. The gross margin for the first quarter of fiscal 2026 decreased by 320 basis points to 42.2%, with higher product costs—including new tariffs—being a primary factor for the decline. In the North America segment, gross margin contraction of 330 basis points was attributed "primarily due to new tariffs and lower ASP," although lower warehousing and logistics costs provided some partial offset. Management stated that they are taking actions to mitigate the impact of new tariffs; however, these actions have not fully offset the margin pressure for the quarter. NIKE is actively monitoring changes to import and export policies in the U.S. and other countries, indicating that evolving tariff policies may necessitate changes in business operations. The company is implementing inventory management strategies, including increased markdowns across NIKE Direct and higher sales returns and discounts with wholesale partners, to address the impact of tariffs and create capacity for new products.

Back in June 2025, Nike put a billion-dollar price tag on tariff costs, while it proclaimed that the worst should be behind the company as sales and profit declines moderate ahead. Nike took its largest financial hit yet from its extensive turnaround plan during its fiscal fourth quarter as finance chief Matt Friend conceded to analysts on an earnings call that the tariff duties represented a "new and meaningful" cost to the business. "With the new tariff rates in place today, we estimate a gross incremental cost increase to Nike of approximately $1 billion" Friend said for its current fiscal year, though he stressed that the company is working to "fully mitigate" these additional costs as it reorganizes its supply chain. Currently, about 16% of Nike's manufacturing and footwear manufacture comes from China and Nike anticipates

that it will be able to reduce this to the high single-digits by the end of next summer, although Friend reiterated that China remained important to its global source base, as he also pledged to future investment in the business.

NIKE is reducing the supply of certain footwear products in the marketplace as it shifts to new and innovative products and rebalances the mix of its footwear portfolio. This action is part of a broader product management strategy to adjust inventory and align with evolving consumer demand. The company is repositioning NIKE Brand Digital as a full-price platform and reinvesting in wholesale distribution, which includes liquidating inventory through increased markdowns across NIKE Direct and implementing higher sales returns and discounts with wholesale partners. These efforts are designed to reduce inventory and create capacity for new products, thereby helping to absorb the impact of tariffs on margins and profitability. NIKE is actively taking actions to mitigate the impact of new tariffs, although management notes that these actions are not expected to fully offset the incremental costs in fiscal 2026. The company continues to monitor changes to import and export policies, indicating a readiness to adjust operations as necessary in response to evolving tariff regulations. The company is also making investments to elevate the presentation of its brands in physical retail, which is part of its broader marketplace management and brand management strategies to maintain consumer engagement and drive demand despite margin pressures from tariffs.

Stock Performance
Current Price: $60.91
Market Cap: $90.51B
Beta: 1.11
% of float shorted: 2.93%

- 1 Year:

- 2 Years:

- 5 Years:

Over the past 1 year, Nike stock is down over 17%. Here are some of the most notable drops during the past 12 months:

- 01/31/2025-02/07/2025: The stock price dropped by 11%. No potential causes have been identified. The benchmark index Vanguard World Fund - Vanguard Materials ETF (VAW) didn't drop in this period. This stock price drop was not tied to the benchmark index.

- 04/02/2025-04/09/2025: The stock price dropped by 18%. The stock price drop was likely caused by significant declines in revenues and earnings before interest and taxes (EBIT) across key regions, including a 15% revenue decrease and 42% EBIT decrease in Greater China, a 6% revenue decrease and 35% EBIT decrease in EMEA, and a 4% revenue decrease and 27% EBIT decrease in Asia Pacific & Latin America, as well as gross margin contraction due to lower average selling prices and higher logistics costs. These results reflect weaker demand, higher discounts, and unfavorable currency impacts, which negatively affected overall profitability. The benchmark index Vanguard World Fund - Vanguard Materials ETF (VAW) dropped by 14%. This stock price drop was tied to the benchmark index.

- 04/09/2025-04/10/2025: The stock price dropped by 8%. The stock price drop was likely caused by the reported declines in revenues and earnings across key regions, including a 15% decrease in Greater China revenues and a 44% decrease in EBIT for that segment, as well as significant declines in Europe, Middle East & Africa and Asia Pacific & Latin America. Additionally, gross margin contraction due to lower average selling prices, higher discounts, and increased logistics costs further contributed to negative investor sentiment. The benchmark index Vanguard World Fund - Vanguard Materials ETF (VAW) didn't drop in this period. This stock price drop was not tied to the benchmark index.

- In regard to other notable stock drops since getting on risk, Nike's stock dropped 20% in a single day back in June 2024, notching the worst day in its 44-year history as a publicly traded company. The plummet sent Nike's share price to its lowest price since March 2020; other than that month, when the global stock market briefly crashed due to COVID-19 lockdowns, it's Nike's lowest price since January 2019.

Despite being a leader in the global sportswear market, Nike has made it extremely easy for investors to be bearish about its business lately. In the past five years, its share price has tanked by 40%+. Nike now trades ~59% below the record high it set in November 2021. Over the past several quarters, Nike's revenue has been under immense pressure. Investors just got a glimmer of hope, though. On Sept. 30, the company reported financial results for its fiscal 2026 first quarter (which ended Aug. 31), and they could be signaling that the company's worst days are in the past. It was encouraging that revenue increased 1% year over year to $11.7 billion, coming in better than Wall Street expected. And it was great to see sales in North America grow by 4%. Other wins occurred in the wholesale segment, where revenue rose by 7%, and sales for Nike Running were up 20% as the business fought to regain some of the market share it had previously lost to rivals. However, diluted earnings per share (EPS) declined by 30% year over year. Nike has been clearing out older inventory, which has resulted in more sales of discounted merchandise, which has hurt its margins. It also won't help that the new U.S. tariffs are expected to boost the company's costs by $1.5 billion this fiscal year alone. Investors should be cautiously optimistic about how Nike will fare in the upcoming holiday shopping season. The Federal Reserve has started to cut interest rates, embarking on a more accommodative path of monetary policy. This could lead to stronger consumer confidence and a boost in consumer spending. But Nike isn't in the clear just yet. "We expect Q2 revenues to be down low single digits," said CFO Matt Friend on the fiscal Q1 earnings call.

Nike's most important asset is its brand name. A decades-long track record for producing popular apparel and footwear, coupled with influential marketing campaigns and endorsements from high-profile athletes, has lifted the brand into an enviable position. Recently, Nike has faced weakening demand due to lackluster product innovations and intense competition. However, given the brand's global recognition, broad distribution, and its unmatched relationships with top sports leagues and athletes, it will always be top-of-mind for consumers. This gives Nike a solid foundation to operate from. If it veers off track (as it has), the leadership team can leverage the power of the brand in its efforts to get the company back on course. Nike is deep in the middle of a major turnaround. Its revenue and net income in fiscal 2025 (ended May 31) were down 10% and 44%, respectively, below the totals from the year before. This has helped drive the stock lower. Nike's leading priorities are to rebalance its distribution strategy, focusing on wholesale accounts after the business leaned too heavily on its own digital channel. Product innovation must also be improved to drive customer excitement. Nike has altered its playbook, now putting the "athlete back at the center" in a sport-centric approach. The good news is the company posted a 1% revenue gain in the latest fiscal quarter (Q1 2026, ended Aug. 31). However, this turnaround will take some time. Nike reported a 9% sales dip in China. And its gross margin is under pressure, from a combination of heightened discounting and promotional activity and tariff impacts in North America. It doesn't seem like Nike's top line growing is the start of a sustainable trend. Management expects revenue to decline low single digits in the current quarter, which includes the early part of the critical holiday shopping period. Wall Street analysts forecast sales to rise 11% between fiscal 2025 and fiscal 2028, which is an encouraging outlook.

Insider selling has been minimal over the past year (~27M) and they hold a 0.80% ownership stake in the company. Vanguard/Blackrock are the 2 largest institutional shareholders. Nike pays an annual $1.60 dividend to shareholders, and they have increased the dividend for the past 22 consecutive years. In June 2022, the BOD authorized a $18B share repurchase program and as of 08/31/25, Nike had repurchased 124.4M shares for $12.1B.

Financial Performance

	YR Ending (Prior Year)	YR Ending (Most Recent)	% Change	Most Recent Qtr
	5/31/2024	5/31/2025		8/31/2025
Balance Sheet				
Cash/ST Investments (includes marketable securities)	$11,582	$9,151	-21%	$8,575
Current Assets	$25,382	$23,362	-8%	$23,898
Total Assets	$38,110	$36,579	-4%	$37,334
Current Liabilities	$10,593	$10,566	0%	$10,911
Long Term Debt	$7,934	$7,964	0%	$7,996
Working Capital	$14,789	$12,796	-13%	$12,987
Income Statement				
Revenues	$51,362	$46,309	-10%	$11,720
Operating Income	$6,754	$3,702	-45%	$927
Net Income	$5,700	$3,219	-44%	$727
Gross Margins (%)	$45	$43	-4%	$42
Cash Flow Statement				
Operating Cash Flow	$7,429	$3,698	-50%	$222

Q1 FY 2026 Financial Results

NIKE, Inc. reported first-quarter fiscal 2026 revenues of $11,720 million, a modest 1% increase from the prior-year quarter. However, profitability metrics deteriorated significantly, with net income declining 31% to $727 million and diluted EPS dropping 30% to $0.49. EBIT fell 28% to $904 million, and EBIT margin contracted sharply to 7.7% from 10.9%.

Revenue Analysis

- Total Revenues: $11,720 million (+1% y/y). Growth was supported by higher revenues in North America (+4%) and EMEA (+6%), offset by declines in Greater China (-9%) and Converse (-27%)
- NIKE Brand: Segment revenues rose 2% to $11,362 million, but were flat on a currency-neutral basis, reflecting underlying weakness masked by favorable currency translation
- Converse: Revenues fell 27% to $366 million, with both wholesale and direct-to-consumer channels contracting

- By Product Line (NIKE Brand):

Product	Q1 FY26	Q1 FY25	% Change
Footwear	**$7,410M**	**$7,462M**	**-1%**

Apparel	**$3,313M**	**$3,032M**	**+9%**
Equipment	**$630M**	**$603M**	**+4%**

- Footwear revenue was pressured by lower ASPs despite higher unit sales (+2%), as increased discounts and channel mix reduced ASP by ~4 percentage points
- Apparel revenue benefited from a 10% increase in units, partially offset by a 3 percentage point ASP decline due to discounts and channel mix

Margin and Profitability Analysis

- Gross Profit: $4,943 million (-6% y/y); Gross Margin: 42.2%, down 320 bps
  - Key drivers of margin contraction: lower ASPs (approx. -250 bps), higher product costs (incl. tariffs; approx. -100 bps), and Converse (-30 bps). Offsets came from lower logistics costs (+50 bps) and favorable FX (+30 bps)
  - Tariffs expected to add ~$1.5 billion in annual gross incremental costs
- Selling and Administrative Expense: $4,016 million (-1% y/y), representing 34.3% of revenues (down 60 bps).
  - Demand Creation Expense: $1,188 million (-3%), reflecting lower brand marketing spend
  - Operating Overhead Expense: $2,828 million (flat y/y). Wage-related expenses rose, offset by lower other admin costs
- EBIT and Net Income:
  - EBIT fell 28% to $904 million; EBIT margin 7.7% (-320 bps y/y)
  - Net income margin fell to 6.2% from 9.1%
- Effective Tax Rate: Increased to 21.1% from 19.6%, primarily due to reduced stock-based compensation benefits

Segment Deep Dive

Segment	Revenue ($M)	EBIT ($M)	EBIT Margin	Revenue Growth	EBIT Growth
North America	**5,020**	**1,134**	**22.6%**	**+4%**	**-7%**
EMEA	**3,331**	**735**	**22.1%**	**+6%**	**-7%**
Greater China	**1,512**	**377**	**24.9%**	**-9%**	**-25%**
AP & Lat Am	**1,490**	**350**	**23.5%**	**+2%**	**-13%**
Converse	**366**	**39**	**10.7%**	**-27%**	**-68%**

- North America: Revenue growth driven by wholesale (+11%), offset by declines in digital sales. EBIT margin fell due to tariffs, lower ASPs, and increased wage costs
- EMEA: Growth led by wholesale; digital sales declined. EBIT margin contraction due to higher product costs and discounts
- Greater China: Weakness in both wholesale and direct channels, especially digital (-27%). EBIT margin compressed due to product mix and lower revenues
- Asia Pacific & Latin America: Modest revenue growth, but EBIT margin fell due to product mix, lower ASPs, and unfavorable currency rates
- Converse: Significant revenue and margin deterioration due to lower unit sales, ASPs, and higher logistics costs

Balance Sheet and Cash Flow

- Total Assets: $37,334 million (+2% from prior quarter)
- Inventories: $8,114 million (+8% q/q), reflecting increased units and product mix
- Cash & Equivalents: $7,024 million (down from $7,464 million at May 31, 2025)
- Operating Cash Flow: $222 million, down 44% y/y, primarily due to lower net income and inventory build-up
- Financing: $598 million used, mainly for dividends and moderated share repurchases
- Share Repurchases: 1.8 million shares bought for $123 million (avg. $68.20/share); cumulative $12.1 billion spent under current $18 billion plan

6. Liquidity and Capital Resources

- Liquidity Position: Strong cash and short-term investments ($8.6 billion), diversified across investment-grade instruments
- Credit Facilities & Debt: No amounts outstanding under $3B commercial paper program or committed credit facilities; long-term debt rated A+/A1
- Capital Needs: Management expects existing liquidity and operating cash flows to be sufficient for the next twelve months and beyond

7. Risks, Trends, and Outlook Factors

- Tariffs: Anticipated to negatively impact gross margin, with ~$1.5B annual gross incremental cost
- Inventory Management: Elevated inventories may require further discounting or liquidation, impacting margins
- Channel Shifts: Wholesale outperformed Direct, but increased discounts and lower ASPs pressured profitability
- Foreign Exchange: Favorable FX impact on revenues (+$213M) and pre-tax income (+$54M)
- Shareholder Returns: Moderated repurchases due to lower operating cash flow; dividends continued
- Expense Management: Lower demand creation expense (brand marketing) helped offset some margin pressure

NIKE, Inc. achieved slight revenue growth in the first quarter of fiscal 2026, posting $11.7 billion, a 1% increase from the prior year 3 Growth was uneven across segments and geographies, with North America and EMEA showing solid increases, but Greater China and Converse experiencing significant declines. The main engine of growth was the NIKE Brand, which saw a 2% revenue increase, though this was flat on a currency-neutral basis, indicating that underlying demand remains challenged in certain markets. Despite the revenue uptick, profitability contracted notably. Gross margin fell by 320 basis points to 42.2%, and EBIT margin dropped to 7.7% from 10.9% a year earlier. The decline was mainly driven by lower average selling prices due to higher discounts in wholesale and factory store channels, increased product costs from tariffs, and adverse channel mix shifts 4 These factors outweighed favorable logistics and foreign currency effects. Net income plunged 31% to $727 million, and diluted EPS dropped 30% to $0.49. Total selling and administrative expenses remained well-controlled, down 1% year-over-year, representing 34.3% of revenues versus 34.9% last year. Demand creation expense (brand and sports marketing) fell 3%, mainly because of reduced brand marketing spend, while operating overhead stayed flat, reflecting offsetting trends in wage-related costs and other administrative savings. North America and EMEA drove overall revenue growth, but EBIT margins contracted due to tariffs, discounts, and rising wage costs. Greater China continues to struggle, with double-digit declines in both revenue and EBIT, especially in digital channels. Converse saw a steep drop in revenue and margin, reflecting global weakness in its channels and product mix. Inventories rose 8% to $8.1 billion, which, along with lower net income, contributed to a 44% decline in operating cash flow to $222 million. Cash and equivalents stood at $7.0 billion at quarter-end. Share repurchase activity was

moderated and ultimately halted during the quarter due to lower operating cash flows, but the company still returned about $0.7 billion to shareholders through dividends and buybacks.

NIKE faces a more challenging operating environment, with higher tariffs expected to add ~$1.5 billion in annual costs and continued pressure from inventory management actions, including discounting and liquidation. The company is actively repositioning its digital platform as a full-price channel and reinvesting in wholesale distribution to mitigate these impacts. Management continues to emphasize brand momentum, product innovation, and disciplined expense control to navigate margin and demand pressures. NIKE maintains a $3 billion commercial paper program and committed credit facilities, with no amounts outstanding under either as of August 31, 2025.The company has long-term debt ratings of A+ (Standard and Poor's) and A1 (Moody's), and was in full compliance with all covenants at quarter-end.

Litigation

We have 1 open SCA from the 2023 PY. Here is Brian McLoughlin's summary:

- On NEWSPC000634869, there is a pending motion to dismiss the second amended complaint. If MTD is denied then there may be concern since alleged market cap loss is substantial. Too early to accurately evaluate potential liability/damages. Some detail from my file notes:
  It is alleged that Nike made false and misleading statements regarding its direct-to-consumer sales strategy, concealing that the strategy was unable to generate sustainable revenue growth and left Nike vulnerable to competitive pressures after reducing ties with wholesale partners. This allegedly caused Nike's stock price to be artificially inflated, harming investors who purchased stock during the class period from March 2021 to March 2024.

  Causes of Action:
  1. For Violations of Section 10(b) of the Exchange Act and SEC Rule 10b-5(b) Promulgated Thereunder Against All Defendants
  2. For Violations of Section 20(a) of the Exchange Act Against the Individual Defendants as Control Persons of NIKE

  Disclosure driven stock drops related to NIKE's direct-to-consumer (DTC) business model under NIKE's "Consumer Direct Acceleration" ("CDA") corporate strategy:
  - December 21, 2023: 12%
  - March 21, 2024: 7%
  - June 27, 2024: 20%
  - October 1, 2024: 6.8%

  The SAC further alleges that due to Defendants' fraud, NIKE Stock reached a Class Period high closing price of $177.51 on November 5, 2021 and fell to $83.10 on October 2, 2024 after the truth was fully revealed, wiping out billions of dollars in shareholder value. The cumulative stock price declined by $94.41 from the Class Period high to the low. That is a 53.2% decrease. The decreases noted above total 45.8%. $94.41 x 1.2B shares outstanding = about $113.3B market cap loss.

I checked their recent 10-K/10-Q filings and they do not believe there are any material pending legal proceedings outside to the routine litigation. NIKE has received claims for certain years from Belgian Customs for alleged underpaid duties related to products imported beginning in fiscal 2018. The Company disputes these claims and has engaged in the appellate process. The Company has issued bank guarantees in order to appeal the claims. At this time, the Company is unable to estimate the range of loss and cannot predict the final outcome as it could take several years to reach a resolution on this matter. If this matter is ultimately resolved against the Company, the amounts owed, including fines, penalties and other consequences relating to the matter, could have a material adverse effect on the Company's results of operations, financial position and cash flows.

Management Team/BOD

- CEO, President & Director: Elliott Hill- He was appointed as President and CEO of Nike effective 10/14/2024 after the resignation of John Donahoe II, who was CEO since 2020. He has been the founder and owner of Open Road Resources, LLC since 2020, through which he has served as an operating partner of BDT & MSD Partners since 2023, and as a senior advisor to BDT Capital from 2020 to 2023. Prior to his retirement in 2020, he spent more than 32 years at Nike holding various senior leadership positions, most recently serving as the Company's President – Consumer and Marketplace from 2018 to 2020. He is a graduate of Texas Christian University with a Bachelor of Science in Kinesiology and Ohio University where he holds a Masters in Sports Administration.
- CFO: Matthew Friend- He assumed the role in April 2020 and was the CFO of the Nike Operating Systems segment prior along with other CFO roles within the company. He began his career in investment banking with Morgan Stanley and Goldman Sachs.
- CLO & EVP: Rob Leinwand- Prior to joining Nike, Rob was a shareholder at the law firm of Littler Mendelson. Rob received his bachelor's degree in industrial and labor relations and his Juris Doctor from Cornell University. He has been with Nike for more than 20 years.
- Chief People Officer & EVP: Treasure Heinle- She began her career at NIKE, Inc. in 2012 as VP, HR Business Partner for North America. Since then, she has led Business HR for the company's Global Operations & Technology and Global Consumer & Marketplace teams, inclusive of Jordan Brand and Converse, before being named the company's Chief Talent Officer in 2022. Prior to joining NIKE, Inc., Heinle held HR leadership positions at Danaher, Tektronix and InFocus.
- Chief Marketing Officer & EVP: Nicole Graham- She re-joined Nike as the CMO in 2023 and has a proven track record of creating world-class marketing for Nike that has energized global sports moments from the Olympics and Paralympics to World Cup and the NBA Finals to the Super Bowl. In 2020, Nicole co-founded Adopt, a creative agency that partners with athletes, start-ups and top consumer companies. Prior to that, she spent 18 years at Nike, honing her expertise in all facets of marketing across global, geo, and key cities.
- Chief Communications Officer & EVP: Michael Gonda- He joined Nike from McDonald's Corporation, where he held several senior leadership roles, including Chief Impact Officer for North America — overseeing communications, public affairs, sustainability, community engagement, and philanthropy — and Global Chief Communications Officer. Prior to this, Michael held senior leadership roles at Chobani, a purpose-driven food company, and communications agency Weber Shandwick.
- CTO & EVP: Dr. Muge Erdirik Dogan- She joined Nike in 2023 from Amazon, where she most recently served as the President of Amazon Fashion, leading the business, technology, science, product and operations teams.
- Chief Supply Chain Officer: Venkatesh Alagirisamy- Since joining Nike in 2006, he has held progressive senior leadership roles and driven enterprise transformation and operational excellence across all Nike brands, multiple operating segments, and geographies, including Greater China.

*On May 2, 2025, the role of President, Consumer, Product & Brand was eliminated. As a result, Heidi O'Neill ceased serving in this position. She remained a full-time non-executive employee until her separation from the company on September 5, 2025. Her annual base salary and employee benefit plan eligibility remained unchanged through her separation date.

BOD: 9 out of 12 directors are independent* Their CEO does not serve as Chairman of the Board and Nike has refreshed the Board with 7 new independent directors being added within the last 7 years and a mix of short, medium, and long-tenured directors to balance fresh perspectives and company-specific experience.

- Mark Parker: He is the Executive Chairman of the Board and was Nike's CEO until January 2020.
- Philip Knight: Chairman Emeritus and co-founder of Nike.
- Elliott Hill: Nike's current CEO.
- Timothy Cook: He serves as Nike's lead director and is the CEO of Apple.
- Thasunda Brown Duckett: CEO and President at TIAA.
- Monica Gil: Former Chief Administrative and Marketing Officer for NBCUniversal Telemundo Enterprises (Comcast Corp).
- Maria Henry: She was appointed to the BOD in May 2023 and is the former CFO of Kimberly-Clark Corporation.
- Peter Henry: Advisor at Biospring Partners.
- Travis Knight: VP of Animation at LAIKA, LLC and CEO.
- Michelle Peluso: Chief Customer Officer and EVP at CVS Corporation.
- John Rogers, Jr.: Chairman, CEO and CIO of Ariel Investments LLC, a privately held money management firm he founded.
- Robert Swan: Operating Partner at Andreessen Horowitz.
- Jorgen Vig Knudstorp: He is the newest appointed director as of September 2025 and is the Former President and Chief Executive Officer of the LEGO Group.

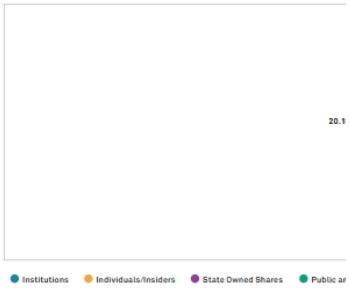
*The only change to the Board YOY was Cathleen Benko (Chief Talent Officer at Deloitte & Touche) announcing her retirement in June 2025, which was not a result of a disagreement with the company.

Ownership

Ownership Summary

Type	Common Stock Equivalent Held	Percent of Common Shares Outstanding (%)	Market Value ($M)
Institutions	983,529,817	66.54	60,221.5
Individuals/Insiders	298,258,928	20.18	18,262.4
State Owned Shares	1,271,422	0.09	77.8
Public and Other	195,141,196	13.20	11,948.5
Total	**1,478,201,363**	**100.01**	**90,510.3**

Summary: Percent of Common Shares Outstanding (%)



Float Summary

NIKE Inc.	
Standardized Data	
Nov-04-2025	
Company Employees/ Individual Insiders	298,258,928
+ State Owned Shares	1,271,422
+ Remaining Untraded Shares	6,955,104
- Total Shares Excluded From Float	306,485,454
Free Float Shares	1,171,715,909
/ Shares outstanding	1,478,201,363
= Float%	79

Thanks!

Michelle Mongiello, MBA, CPCU
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